M.EXPRESS

SOUTH AFRICA: REQUIREMENTS AND COMPLIANCE

Regulatory checklist | 30 October 2026

The first requirement is to establish how South African law classifies M.Express's transactions. Paying someone R9,500 now in exchange for their R10,000 deposit refund later could involve credit, the purchase of a receivable, or another financing arrangement. That classification determines the registrations, contracts and fee rules you need.

The checklist below applies to the agreed model: the client pays the 5% fee, and the holding company reimburses the full approved refund without an additional fee.

1. Confirm the legal structure of the product

Ask a South African financial services attorney to assess:

• Whether M.Express is providing credit or purchasing the client's right to a confirmed refund.

• Who legally owes M.Express: the client, the holding company, or both.

• Whether the client must repay M.Express if the holding company fails to pay.

• Whether the refund right can be transferred through a cession, including restrictions in the original deposit agreement.

• Whether the holding company's reimbursement undertaking is enforceable.

Calling the charge a "service fee" does not, by itself, establish that the arrangement falls outside credit regulation. Treat the classification as unresolved until the actual agreements and money flows have been reviewed.

2. Company registration and administration

Requirement	What you need
CIPC registration	Register the business, ordinarily as a private company, such as M.Express (Pty) Ltd, subject to name availability.
Company records	Incorporation documents, director details, share register and ownership records.
Beneficial ownership filings	File the required beneficial ownership information and keep it updated.
Annual compliance	Submit CIPC annual returns and the applicable financial statements or Financial Accountability Supplement.
Business bank account	An account in the company's name, with the bank informed of the actual financing model.

CIPC registration establishes the company; it does not authorise regulated financial activities. CIPC also requires beneficial ownership and annual-return compliance. [1, 2]

3. National Credit Regulator - if the model constitutes regulated credit

If the National Credit Act applies, you may need:

• NCR registration before offering or entering into the credit agreements.

• Prescribed quotations, disclosures and agreements.

• Applicable affordability and credit assessment procedures.

• Compliance with permitted interest, fees and charges.

• Required records, regulatory reporting and complaints procedures.

The credit-provider registration threshold is R0, subject to the Act's scope and exceptions - you cannot assume that a small pilot is exempt. [3]

Your proposed flat 5% deduction must also be checked. Client acceptance alone does not make a fee lawful if credit-cost limits apply. NCR material confirms that different credit categories have prescribed pricing limits. [4]

4. FICA and anti-money-laundering compliance

Determine whether M.Express is an accountable institution under the Financial Intelligence Centre Act. The credit-provider category can extend beyond credit agreements covered by the National Credit Act, so an NCR exemption should not be treated as a FICA exemption. [5]

If applicable, your compliance programme should cover:

• FIC registration through goAML.

• A documented Risk Management and Compliance Programme.

• Customer and company verification, including beneficial owners.

• Sanctions screening, transaction monitoring and suspicious-activity reporting.

• Record retention, staff training and a designated compliance function.

The FIC states that Schedule 1 institutions must register within 90 days of establishment. That registration period does not replace the other applicable obligations. [6, 7]

5. Payment services and banking arrangements

Have your bank and attorney assess whether the payment flow makes M.Express a third-party payment provider or system operator.

Paying your own financing obligations is a different arrangement from receiving or transmitting money on behalf of others; the actual operating structure matters. SARB regulates these payment-service categories, and third-party payment providers register through their banks. [8, 9]

Also assess how you will fund payouts. Do not assume you can raise repayable "deposits" from the public to finance advances. Public deposit-taking is restricted under banking legislation. [10]

6. FSCA licensing assessment

A finance-company name does not automatically establish whether an FSCA licence is required. Have the proposed activities checked against the applicable licensing rules, particularly if you later introduce investments, insurance, financial-product advice or intermediary services.

FAIS licensing is a separate assessment from NCR registration. [11, 12]

7. POPIA and PAIA

Because you will process identity documents, bank details and deposit records, prepare:

Requirement	Practical action
Information Officer	Register the company's Information Officer with the Information Regulator.
Privacy notices	Explain what information you collect, why, who receives it and how long it is retained.
Lawful information sharing	Document the basis for sharing client information with holding companies and service providers.
Security controls	Use restricted access, encryption, secure uploads, backups and audit logs.
Service-provider agreements	Include appropriate data-protection obligations for hosting, verification and payment providers.
Incident response	Establish procedures for investigating and reporting security compromises.
PAIA manual	Prepare and make available the required access-to-information manual.

The Information Regulator requires Information Officer registration and provides guidance on PAIA manuals and breach notifications. [13-15]

8. Contracts and documents

For your particular workflow, have these professionally drafted:

Document	What it should establish
Holding company agreement	Claim authority, final refund confirmation, reimbursement obligation, due dates, disputes and duplicate-payment prevention.
Client agreement	Approved refund, 5% deduction, net payout, acceptance and responsibility if reimbursement fails.
Cession/payment direction	The legal mechanism allowing M.Express to receive the refund.
Claim approval record	Confirmation from an authorised holding-company representative.
Payment acknowledgment	The amount received, claim reference, recipient and date.
Reimbursement pack	Proof of payment, acknowledgment and correctly described reimbursement request or invoice.
Complaints policy	How clients and holding companies raise and resolve disputes.

A proof of payment and client acknowledgment are evidence; they should not substitute for the holding company's binding reimbursement agreement.

9. SARS, accounting and VAT

Set up income-tax compliance, bookkeeping, financial reporting and applicable employer registrations if you hire staff.

Have an accountant determine:

• How advances, receivables, reimbursements and fee income are recorded.

• Whether the 5% is a taxable fee or receives another VAT treatment.

• Whether your quoted 5% includes any applicable VAT.

• Which party receives a fee invoice versus a reimbursement statement.

Do not assume all financial-service income is VAT-exempt: fees and commissions can receive different treatment. SARS currently administers a R2.3 million compulsory VAT registration threshold from 1 April 2026, based on taxable supplies - not simply all money passing through the bank account. [16, 17]

10. Operational controls before the first payout

These are practical safeguards to build into the system:

• Verify the recipient's identity and bank-account ownership.

• Confirm the refund is final and the submitter is authorised.

• Prevent the same deposit being financed twice.

• Require separate approval for releasing payments.

• Verify bank-detail changes independently.

• Set exposure limits for each holding company.

• Reconcile payouts and reimbursements daily.

• Maintain working capital for delayed reimbursements.

• Keep timestamped acceptance, payment and document records.

Your first three appointments should be a financial services attorney, an accountant familiar with financial services, and your business bank's compliance team. Give them the same proposed contracts and money-flow diagram so they can resolve the credit, payment-services, FICA and tax questions consistently before launch.

Source references

Sources supporting the checklist. Regulatory classification remains dependent on the final contracts and operating model.

1. CIPC - Registering a business
2. CIPC - Beneficial ownership and annual returns
3. NCR - Zero registration threshold
4. NCR - Review of credit pricing limits
5. FIC PCC 23A, 30 March 2026 - published communication reproduced on FICKLE
6. FIC - Registration and reporting portal
7. FIC Act - Section 42: RMCP
8. SARB - Payment regulation
9. SARB - Payments and settlements
10. SARB - Illegal deposit taking
11. FSCA - Regulated entities and FAIS licensing
12. FAIS Act - Definitions and application
13. Information Regulator - Information Officer registration
14. Information Regulator - PAIA guide
15. Information Regulator - Security compromise reporting
16. SARS - VAT treatment of financial-service fees
17. SARS - Budget 2026 FAQs and VAT threshold